False Prosperity, Real Destruction: An Economic and Ecological Critique of Indonesia's Oil Palm Concessions

"AAAHHH SAWITT!" This satirical outcry, which has circulated among the Indonesian public, reflects frustration with what many perceive as official tolerance of deforestation and the sacrifice of Bornean rainforests to the expansion of palm oil plantations. That frustration is not only about the forests themselves but also about governance. Fadilah et al. (2026, para. 1) found that environmental policy in Indonesia tends to be normative and ineffective because of weak implementation, weak law enforcement, and the dominance of industry interests. This suggests that formal environmental safeguards can be undermined when they are not enforced, and that a policy on paper is not the same as a policy in practice. Against this background, this essay argues that the Indonesian government should enforce a strict moratorium on new land clearing for oil palm in Kalimantan and pair it with agricultural intensification on existing plantations, because continued concession expansion risks irreversible ecological damage without delivering proportionate fiscal or market benefits.

From an economic standpoint, the continued expansion of palm oil plantations in Kalimantan is difficult to justify. Erwinsyah (2024, para. 1), analyzing Indonesian palm oil exports from 1991 to 2021, found that market appreciation for environmentally friendly palm oil has not contributed positively to either the price or the export volume of palm oil. The same study also found that expansion of plantation area and higher production were associated with higher world prices and larger export volumes. This suggests that sustainability credentials are not reliably rewarded by the market, and that the economic case against expansion cannot rest on national export performance alone. A stronger economic argument must therefore ask who captures the gains, and the evidence on local revenue is less favorable to expansion. The

assumption that territorial expansion automatically enriches regional economies is also questionable. Purba et al. (2024, para. 1) found no significant simultaneous effect of palm oil production on North Sumatra's local own-source revenue (Pendapatan Asli Daerah) between 2016 and 2021, and their t-test likewise indicated no significant effect of production on that revenue. Because this study covers North Sumatra rather than Kalimantan, measures production rather than land expansion, and examines only one revenue indicator, it does not settle the question. It does, however, weaken the assumption that more output reliably fills local treasuries, and with it a central economic rationale for clearing new land. Taken together, these findings suggest that national export gains have not translated into market rewards for sustainability or into clear fiscal gains for producing regions, so the economic case for opening new land is weaker than commonly assumed. A more defensible way to sustain profitability is to raise productivity on existing plantations rather than to enlarge the area under cultivation. Intensification is not risk-free, however. Higher yields can increase supply and, if they make palm oil more profitable, can create fresh pressure to clear more land. For this reason, intensification must be paired with a binding moratorium, so that productivity gains are not converted into further expansion.

Because the economic benefits of expansion are doubtful, the ecological costs weigh even more heavily, particularly in the Bornean rainforest. Clearing land for monoculture agriculture does far more than remove trees. Hidayah (2025, para. 1) reviews the ecological effects of oil palm plantations, including deforestation, biodiversity loss, greenhouse gas emissions, and air and land pollution, which together form a chain of environmental damage rather than a single loss. Evidence from the field also shows that expansion is continuing. Tisna and Lahay (2024, para. 4) reported that, according to TreeMap's observations, oil palm

plantations in Indonesia caused the conversion of 30,000 hectares of forest in 2023, an increase of 36% over the previous year. Although this figure is national rather than specific to Kalimantan, it shows that forest conversion for oil palm was still rising in 2023, which sits uneasily with the industry's sustainability commitments. Sacrificing one of the world's most important biodiversity regions for an uncertain economic return is an ecological risk that the state can no longer justify.

Proponents of the palm oil industry often defend continued plantation expansion by pointing to its contribution to national economic stability and rural development. Putri et al. (2026, para. 1) describe the palm oil industry as a strategic sector that supports Indonesia's economic growth through foreign exchange earnings, employment, and the development of vegetable-oil-based industries. From this perspective, advocates may argue that restricting new concessions would reduce state revenue and limit employment opportunities in less developed outer regions. These contributions are real and deserve to be taken seriously.

However, this defense overlooks two points. First, a moratorium on new land clearing does not shut down the sector. Existing plantations, and the employment and export earnings that come with them, would continue to operate, so the contributions cited above are not lost by halting expansion. Second, national-level benefits do not guarantee local well-being. Ikhsan et al. (2025, para. 1), in a systematic literature review, found that the palm oil sector creates jobs and raises incomes for some, but that inequitable distribution of benefits, limited access to resources, and adverse environmental impacts are significant barriers to smallholder well-being. This does not deny that the sector brings benefits. It shows that those benefits are unevenly shared, so aggregate figures for revenue and employment do not by themselves demonstrate that expansion improves life in rural communities. This gap between aggregate gains and local well-being is the

prosperity paradox described by Ikhsan et al. (2025). Defending new forest clearing as a means of reducing poverty is therefore not supported by the evidence discussed here. If rural welfare is th;e goal, policy is better directed at improving smallholders' access to resources and the fairness of benefit distribution, an aim that support for replanting and higher productivity on existing land may serve better than opening new concessions.

In conclusion, continued expansion of palm oil plantations in Kalimantan is difficult to justify on either economic or ecological grounds. As this essay has shown, new concessions do not clearly protect the sector from price pressure, nor do they reliably increase local revenue in producing areas. The conventional defense that expansion fosters rural welfare is weakened by the prosperity paradox, in which aggregate gains do not necessarily reach the smallholders and communities who bear the environmental costs. Meanwhile, the continued conversion of forest drives deforestation, biodiversity loss, and greenhouse gas emissions that are potentially irreversible. The Indonesian government should therefore enforce a strict moratorium on new land-clearing permits and support the industry in shifting toward intensification and replanting on existing land, with enforcement strong enough to prevent productivity gains from becoming a new driver of expansion. Protecting Kalimantan's remaining natural forests is no longer merely an environmental aspiration. It is an urgent structural necessity if Indonesia is to achieve more equitable economic outcomes and long-term ecological stability.

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